USN | | | | | | | | | | [21JUGEHSS20]

SIXTH SEMESTER B.Tech EXAMINATION, MAY – 2024

FINANCE FOR NON FINANCE PROFESSIONALS

Time:3 Hours **Maximum Marks:50**

Instructions:
- **i.** PART - A (Question 1-5) answer any 4 questions.
- **ii.** PART - B (Question 6-8) answer any 2 questions.
- **iii.** PART - C (Question 9) is compulsory

PART – A 05X04=20

1. Define the Separate Entity Concept in accounting and discuss how it separates the financial affairs of a business from those of its owners or other entities. **05**

2. Mr.Sam started a business of trading machines with Cash Rs.25,000 and carried out the following transactions. Journalize the following transactions. **05**

Purchased machinery from Machine House	Rs.10,000
Purchased furniture for cash	Rs.2,500
Sold goods on credit to Amar	Rs.1,000
Received commission	Rs.250
Sold goods	Rs.800
Purchased goods	Rs.5000
Paid salary	Rs.2,700
Received cash from Amar	Rs.500
Sam withdrew cash for personal purpose	Rs.750

3. From the following information related to ABC Ltd., compute all Liquidity Ratios and make an analysis: **05**

Particulars	Amount (Rs.)	Particulars	Amount (Rs.)
Trade Receivables (Sundry Debtors)	1,00,000	Bills Payable	20,000
Prepaid Expenses	10,000	Sundry Creditors	40,000
Cash and Cash Equivalents	30,000	Debentures	2,00,000
Short term Investments	20,000	Inventories	40,000
Machinery	7,000	Expenses Payable	40,000

4. Pass journal entries in the books of Mr. Mukesh of Gujarat assuming CGST@9% and SGST@9%. **05**

- **i.** Purchased goods for Rs.2,00,000 from Anil of Jaipur (Rajastan) on Credit.
- **ii.** Sold goods for Rs.1,50,000 to Mr. Sachin of Mumbai (Maharashtra) and the cheque received was sent to bank.

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iii. Sold goods for Rs.2,50,000 within the state on credit.

iv. Paid insurance premium of Rs.20,000 by cheque.

v. Purchased furniture for office for Rs.60,000 by cheque.

5. Explain the difference between cash basis and accrual basis of accounting. **05**

PART - B

09X02=18

6. On January 1, 2024, Latex Store Ltd. Cash Book showed debit balances of Cash Rs.10,550 and Bank Rs.13,575. During the month of January following business transactions took place. You are required to prepare Double Column Cash Book for January 2024. **09**

Jan 02 Purchased Office Type Writer for Cash Rs.750;

Jan 03 Cash Sales Rs.1,315.

Jan 07 Deposited Cash Rs.2,500 to bank.

Jan 10 Received cheque from Mr. A for Rs.2,550 in part payment of his account

Jan 16 Paid by cheque for stationery purchased worth Rs.1,005.

Jan 20 Deposited in bank Rs.5,000

Jan 22 Received from Adithyan (customer) a cheque for Rs.6,000

Jan 24 Sold goods to Sweet Bros. Ltd. for Rs.11,500 who paid by cheque which was deposited into bank.

Jan 26 Paid to creditor Salman Rs.2,800 by cash.

Jan 29 Paid wages by Cash Rs.2,000 and Salary of Rs.4,500 by Cheque.

Jan 30 Drew from bank for office use Rs.2,500 and for Personal use Rs.1,500

7. How do the Modern Rules of accounting differ from the traditional Golden Rules, and what led to the evolution of these rules? **09**

8. From the following Balance Sheet of H.P. Ltd. as on 31st March, 2023 and 31st March, 2022. Prepare Comparative Balance Sheet. **09**

Particulars	Note No.	31st March, 2023 (Rs.)	31st March, 2022(Rs.)
I. EQUITY AND LIABILITIES			
1. Shareholders' Funds			
(a) Share Capital:			
(i) Equity Share Capital		12,50,000	5,00,000
(ii) Preference Share Capital		2,50,000	2,50,000
(b) Reserves and Surplus		3,00,000	4,50,000
2. Non-Current Liabilities			
(a) Long-term Borrowings:			
(i) 12% Debentures		9,50,000	5,50,000
(ii) Bank Loan		2,50,000	2,00,000
3. Current Liabilities			
(a)Short-term Borrowings		3,50,000	1,75,000
(b) Trade Payables		2,00,000	1,00,000
(c) Short-term Provisions		50,000	25,000
Total		**36,00,000**	**22,50,000**

II. ASSETS			
1. Non-Current Assets			
(a) Fixed Assets (Tangible)		22,50,000	15,00,000
2. Current Assets			
(a) Inventories		4,50,000	2,50,000
(b) Trade Receivables		8,00,000	4,50,000
(c) Cash and Cash Equivalents		1,00,000	50,000
Total		**36,00,000**	**22,50,000**

PART - C

01X12=12

9. Following balances are taken from the books of Niranjan. Prepare Trading and Profit and Loss Account and Balance Sheet for the year ended 31st March, 2023. **12**

Particulars	Amount	Particulars	Amount
Capital	12,00,000	Drawings	2,10,000
Opening Stock	4,50,000	Plant and Machinery	2,40,000
Furniture	15,000	Purchases	29,50,000
Sales	43,50,000	Insurances	15,000
Purchases Return	40,000	Sales Return	70,000
Rent	50,000	Trade Expenses	20,000
Salaries	2,40,000	Wages	4,00,000
Bad Debts	10,000	6% Investments	5,00,000
Sundry Debtors	4,00,000	Sundry Creditors	1,90,000
Bills Payable	8,000	Cash	1,22,000
Advertisement Expenses	60,000	Miscellaneous Income	12,000
Patents	48,000		

Adjustments:

i. Closing Stock Rs.7,50,000.

ii. Depreciate Machinery by 10% and Furniture by 20%.

iii. Wages of Rs.50,000 and salaries of Rs.20,000 are outstanding.

iv. Write off Rs.50,000 as further Bad Debts and create 5% Provision for Doubtful Debts. Also, create a reserve for discount on Debtors @ 2%.

v. Investments were made on 1st July, 2022 and no interest has been received so far.